Nov 2026 attempt

Ind AS 16 — Property, Plant & Equipment

Cost in → depreciate by component → revalue by class → derecognise. Traps live at every arrow.

1 Recognition 7 · 8 · 12 – 14

- → Recognise if **probable future economic benefits + cost measured reliably** 7
- → **Spares, stand-by & servicing equipment** → PPE if used **> 1 period**; else inventory 8
- → **Day-to-day servicing** (labour, consumables, small parts) → **P&L** 12
- → **Replacement of a part** → capitalise new part, **derecognise the replaced part** — even if not depreciated separately (use replacement cost as a guide to old part's cost) 13 · 70
- → **Major inspection / overhaul** → capitalise; derecognise remaining carrying amount of the **previous inspection** 14

2 What goes into cost 16 – 22

IN ✓

- Purchase price + import duties + **non-refundable** taxes − trade discounts/rebates
- Directly attributable: site prep, delivery, installation, **testing**, professional fees, employee costs arising directly
- Initial estimate of **dismantling / restoration** (Ind AS 37)
- Borrowing costs on qualifying asset (Ind AS 23)

OUT ×

- Opening a new facility; new product launch / advertising
- New location / new customer class, **staff training**
- Admin & general overheads
- Costs **after** asset can operate as intended: **initial operating losses**, relocation, under-utilisation 20
- Abnormal waste in self-construction; **incidental operations** → P&L 21

⚠ TRAP

2022 amendment: sale proceeds of items produced while testing are **NOT deducted** from cost — recognise the proceeds and their cost (Ind AS 2) in **P&L**. Testing cost (is it functioning properly?) is still capitalised.

3 Special acquisitions

- → **Deferred payment** beyond normal credit → cost = **cash price equivalent**; difference = interest (unless Ind AS 23) 23
- → **Exchange of assets** → **fair value**, unless it **lacks commercial substance** or FV not reliably measurable → **carrying amount of asset given up** 24
- → **Government grant** → may deduct from cost (Ind AS 20) 28
- → **Bearer plants** → Ind AS 16; **produce** on them → Ind AS 41

NUMERICAL FAVOURITE

4 Cost model vs Revaluation model 29 - 42

→ Choice is by **entire class** (land, buildings, machinery...) — revalue the whole class **simultaneously** (rolling basis OK if completed in short period) 36 · 38

→ Carrying amount = **FV at revaluation date − later acc. depreciation − later impairment** 31

→ Frequency: so that carrying amount doesn't differ **materially** from FV

Accumulated depreciation on revaluation 35

(a) Restate gross carrying amount consistently (e.g., proportionately); acc. dep = gross − revalued amount

(b) Eliminate acc. dep against gross carrying amount; net = revalued amount

5 Surplus / deficit — the sequence 39 · 40

Increase → **OCI** (revaluation surplus)
except: reverses an earlier **P&L** decrease → **P&L** to that extent

Decrease → **P&L**
except: to the extent of **surplus for the SAME asset** → **OCI** first

Land (no depreciation)	Value	OCI	P&L
Cost	100	—	—
Revalued up	120	+20	—
Revalued down	90	−20 (wipe surplus)	−10
Revalued up	115	+15	+10 (reverse P&L loss first)

⚠ TRAP
Surplus of **Asset A** can **never** absorb a deficit of **Asset B**, even in the same class.

6 Moving the surplus 41 · 42

→ Transfer to **retained earnings directly** (within equity) — **never through P&L**

→ When: on **derecognition**, or yearly as used = **depreciation on revalued amount − depreciation on original cost**

→ Deferred tax on surplus → OCI (Ind AS 12)

Surplus goes **up through OCI** and **out through retained earnings** — P&L never sees it.

7 Depreciation 43 – 62A

- → **Component approach** — each significant part separately 43; mandatory under Sch II too
- → **Land & buildings** separate; land not depreciated (except quarries / landfill); restoration cost on land → over benefit period 58 · 59
- → Depreciable amount = cost − **residual value**; RV & useful life reviewed **at least each FY-end** → change = **estimate** 51
- → RV ≥ carrying amount → depreciation **zero** until RV falls 54
- → Method reviewed each FY-end → change = **estimate**, prospective 61
- → **Revenue-based depreciation is NOT appropriate** 62A

Depreciation …	Rule 55
Starts	When **available for use** (location & condition) — not when actually used
Stops	Earlier of **HFS classification** (Ind AS 105) or **derecognition**
Asset **idle / retired from active use**	**Continues** (unless fully depreciated; usage method may give zero)

8 Impairment & compensation 63 – 66

- → Impairment → **Ind AS 36**
- → **Insurance / third-party compensation** for impaired, lost or given-up PPE → **P&L when receivable** — **separate event**, never netted against the loss 65 · 66

> ⚠ **TRAP**
> Fire **before** RD: write off the asset in this year; recognise insurance only when **receivable** (Ind AS 37 — virtually certain). Fire **after** RD → Ind AS 10 non-adjusting (see Ind AS 10 notes).

9 Derecognition 67 – 72

- → On **disposal** or when **no future benefits** expected
- → Gain / loss → **P&L**; gains are **NOT revenue** 68
- → **Exception:** PPE routinely held for **rental then sold** → transfer to **inventory** at carrying amount when rental ends; sale proceeds = **revenue (Ind AS 115)** 68A
- → Date of disposal & consideration → **Ind AS 115** rules 69 · 72

⑩ Decommissioning liability changes Appendix A

Model	Change in estimate of the liability
Cost model	Add to / deduct from asset cost; a decrease **beyond carrying amount** → **P&L**; revised depreciable amount depreciated over remaining life
Revaluation	Goes through **revaluation surplus / deficit** (OCI / P&L rules of para 39 – 40)
Unwinding of discount	**Finance cost in P&L** — never capitalised

⑪ Cross-standard links

→ **Ind AS 101** — deemed cost option: FV, or previous-GAAP carrying value for all PPE (D7AA)

→ **Ind AS 40** — owner-occupied ↔ investment property transfers at carrying amount (cost model only in India)

→ **Ind AS 105** — HFS: stop depreciation; lower of carrying amount and FV less costs to sell

→ **Ind AS 116** — ROU assets follow Ind AS 16 depreciation rules

→ **Ind AS 12** — revaluation creates taxable TD → DTL through OCI

→ **Ind AS 8** — useful life / RV / method = estimate; cost → revaluation = policy, prospective (para 17)

⑫ AAA bridge

Area	Requirement
CARO 3(i)(a)	Proper records incl. quantitative details & situation of PPE; intangibles records
CARO 3(i)(b)	Physical verification at reasonable intervals; material discrepancies dealt with
CARO 3(i)(c)	Title deeds of immovable property in company's name (not where company is lessee)
CARO 3(i)(d)	Revaluation during year — by **registered valuer**? change ≥ **10%** of net carrying value of a class
CARO 3(i)(e)	Proceedings under Benami Property Act
SA 540	Useful life, RV, revaluation FV, decommissioning estimate
SA 500 / SA 620	Valuer = management's expert (SA 500 para 8) vs auditor's expert (SA 620)
Sch II / Sec 123	Useful lives indicative (different life → justify & disclose); depreciation before dividend

> ✍ **Write in exam**
> "As per para 39–40 of Ind AS 16, the revaluation decrease shall first be debited to OCI to the extent of any credit balance existing in the revaluation surplus in respect of that asset, and the balance shall be recognised in profit or loss."